Car manufacture
This is a highly automated production line at the Hyundai car plant in South Korea. Founded in 1947, the hugely successful Hyundai Group is a South Korean conglomerate that has pioneered robotic engineering techniques in car production.

Tiger Economies

After World War II, Japan made economic reforms, establishing itself as one of the world's richest nations. Similar economic transformations occurred in South Korea, Taiwan, Hong Kong, and Singapore, who are known collectively as the "tiger economies" or "Asian tigers."

BEFORE

Japan's drive for growth led to the invasion of China and involvement in World War II.

THE MODERNIZATION OF JAPAN
Japan's **Meiji Restoration** **<< 356–57** triggered economic and social change in late-19th-century Japan. Increased trade with the West led to an era of rapid industrialization.

CONFLICT WITH CHINA
During the **Great Depression** **<< 384–85,** loss of foreign capital and raw material imports badly affected Japanese industry. The acquisition of territories on the Asian mainland came to be seen as essential for economic survival. In 1931, Japan occupied the Chinese province of Manchuria. In 1937, a clash between Chinese and Japanese troops escalated into a renewed Sino-Japanese War.

JAPANESE TROOPS, 1931

JAPAN IN WORLD WAR II
In 1941, Japan began extending its empire in East Asia and the Pacific. After bombing **Pearl Harbor** **<< 402–03,** it invaded Indonesia, Burma, and other territories held by Europeans.

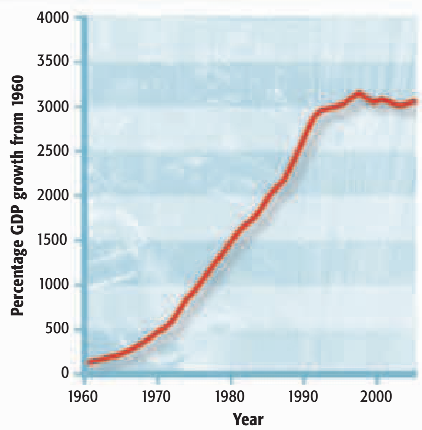
Worsening postwar relations between the Allies and the Soviet Union (see pp.406–07) combined with the rise of communist movements in territories including Vietnam, Korea, and Malaya (see pp.412–13), led many in the West to fear communist takeover in Asia and the Pacific. These fears increased when ongoing civil conflict in China ended with the founding of Mao Zedong's Communist People's Republic in 1949 (see pp.424–25). The new anxieties of the Cold War era led the US to provide economic support to noncommunist governments in the region.

The rise of Japan

After World War II, Allied forces led by US General MacArthur occupied Japan. for six years. MacArthur worked with Japanese Prime Minister Shigeru Yoshida to develop a blueprint for the future of Japan, drafting a new democratic constitution and reforming political and legal structures. Japan was barred from maintaining armed forces of its own; all energy was focused on rebuilding its economic potential. After the outbreak of the Korean War in 1950 (see pp.406–07), large US orders for Japanese-manufactured arms boosted the economy. Although the US occupation was a time of economic privation for many Japanese, much of the country's later prosperity was based on the access granted to the American market, an arrangement that continued after occupation ended in 1952. From the mid-1950s, Japan's economy entered a period of rapid growth. Having established the heavy industries—coal, steel, and energy production—the government began to support development of shipbuilding and car manufacture. Through the 1960s industrial emphasis shifted to high-tech production of cameras and video recorders; and electronic devices using new microchip technology, including computers. Global companies such as Sony, Toyota, and Nissan emerged.

In spite of setbacks during the 1973 Oil Crisis (see pp.440–41) and a period of recession in the 1990s, Japan's

Japanese yen
The yen is the currency of Japan. First introduced by the Meiji government in 1870, the modern Japanese yen has a stable reputation and is widely chosen alongside the US dollar for foreign exchange reserves.



Japanese growth
This graph shows the astonishing growth in Japan's economy by charting the gross domestic product (GDP), which is the sum of the market value of all the goods produced within the country, from the 1960s.